

Asirvad Micro Finance Limited

October 06, 2026

Facilities/Instruments	Name of the Regulator ¹	Amount (₹ crore)	Rating ²	Rating Action
Long Term Bank Facilities	RBI	2,000.00	CARE AA-; Stable	Reaffirmed
Subordinated Debt	SEBI	300.00	CARE AA-; Stable	Assigned
Subordinated Debt	SEBI	150.00	CARE AA-; Stable	Reaffirmed
Non-Convertible Debentures	SEBI	200.00	CARE AA-; Stable	Assigned
Non-Convertible Debentures	SEBI	200.00	CARE AA-; Stable	Reaffirmed

Details of instruments/facilities in Annexure-1.

Rationale and key rating drivers

Ratings assigned to the subordinated debt, long-term bank facilities and debt instruments of Asirvad Microfinance Limited (AMFL) consider benefits derived by AMFL from being part of the Manappuram group and its long track record of operations with pan India presence. The group provided AMFL need-based managerial and capital support, as reflected by the recent equity infusion of ~₹1,541 crore in FY26.

Ratings also factor in AMFL's comfortable capitalisation levels and diversified resource profile. CARE Ratings Limited (CareEdge Ratings) has taken note of loss-making operations, considering higher credit costs arising from deterioration in asset quality in the microfinance sector, which led the company to scale down its microfinance book in the last two years. CareEdge Ratings notes improvement in profitability in Q4FY26 and Q1FY27 and expects it to improve further in the next few quarters.

Ratings remain constrained by inherent asset quality risks associated with lending to marginal-income households and susceptibility of the business model to event-driven disruptions. Going forward, continued capital backing, the company's ability to contain credit costs and improve profitability will remain a key monitorable.

Rating sensitivities: Factors likely to lead to rating actions

Positive factors: Factors that could individually or collectively lead to positive rating action/upgrade:

- Increase in scale of operations while maintaining good asset quality, profitability, and capital adequacy on a sustained basis.

Negative factors: Factors that could individually or collectively lead to negative rating action/downgrade:

- Overall gearing remaining above 6.5x on a sustained basis.
- Deterioration in credit profile of the parent.
- Moderation in expected support from the parent, including decline in shareholding below 51%.

Analytical approach: Standalone

Standalone; factoring linkages with the parent, Manappuram Finance Limited (MAFIL; rated 'CARE AA; Stable/CARE A1+').

Outlook: Stable

Stable outlook reflects CareEdge Ratings' expectation that AMFL will remain strategically important to its parent, MAFIL, and will receive need-based capital support while maintaining comfortable capitalisation levels.

Detailed description of key rating drivers

Key strengths

Strong parentage and benefits derived from being part of the Manappuram Group

AMFL is a subsidiary of MAFIL, the Manappuram group's flagship company. Being a subsidiary of MAFIL, AMFL derives significant benefits through managerial, financial, and operational support. This aids AMFL in expanding its branch network to new geographies, where MAFIL has presence, enhancing IT infrastructure, and maintaining a high level of financial flexibility as a

¹SEBI: Securities and Exchange Board of India; RBI: Reserve Bank of India; MCA: Ministry of Corporate Affairs; IRDAI: Insurance Regulatory and Development Authority of India; PFRDA: Pension Fund Regulatory and Development Authority

²Complete definitions of the ratings assigned are available at www.careratings.com and in other CARE Ratings Limited's publications.

subsidiary of MAFIL. AMFL accounted for 10.27% of MAFIL's assets under management (AUM) mix as on June 30, 2026, on a consolidated basis.

Supported by the group's strong resource-raising ability, the company mobilises funds through widening its lender base and attracting new investors, enabling it to secure funds at competitive rates. V. P. Nandakumar, Managing Director, MAFIL, is the Chairman of AMFL and is actively involved in policy decisions as part of AMFL's board.

MAFIL infused equity capital of ₹500 crore in Q1FY26, ₹250 crore in Q3FY26 and ~₹791 crore in Q4FY26. CareEdge Ratings expects continued support from MAFIL to AMFL, going forward.

On a consolidated basis, MAFIL reported profit after tax (PAT) of ₹993 crore on total income of ₹9,525 crore in FY26 and a PAT of ₹585 crore on a total income of ₹3,040 crore in Q1FY27 against PAT of ₹1,204 crore on total income of ₹10,031 crore in FY25. The company's gearing stood comfortable at 3.64x with tangible net worth (TNW) of ₹16,552 crore as on June 30, 2026. MAFIL maintained good asset quality with gross non-performing assets (GNPA) of 1.60% as on June 30, 2026.

Long track record of operations with pan-India presence

AMFL has an established track record and has been carrying out microfinance lending activities since January 2008. In FY15, MAFIL acquired AMFL through a combination of acquisition of shares from existing investors and fresh equity infusion, making AMFL a subsidiary of MAFIL.

AMFL's board comprises five directors, including three independent director, with extensive experience in financial services, rural banking, and operations. Day-to-day operations are looked after by team of experienced professionals, with each function managed by an experienced team headed by key management personnel with vast experience in the non-banking finance company (NBFC) and microfinance institution (MFI) space.

As on June 30, 2026, AMFL is present in 25 states and union territories. Tamil Nadu is the top contributor with 10.8% of the AUM. Top three states, Tamil Nadu, Uttar Pradesh and Bihar, together account for ~31% of the AUM.

After witnessing stress in the microfinance segment, the company scaled down disbursements and has been increasing its gold loan portfolio. Gold AUM as a percentage of total AUM stood at 32.6% as on June 30, 2026 against 7.49% as on March 31, 2024.

Comfortable capitalisation levels with regular infusion of equity by promoters

AMFL has been getting support from its parent through regular equity infusion. AMFL had net worth of ₹1,901 crore as on March 31, 2026, and ₹2,495 crore as on June 30, 2026, compared to ₹1,208 crore as on March 31, 2025. The company raised equity of ₹500 crore in Q1FY26, ₹250 crore in Q3FY26, and ~₹791 crore in Q4FY26 from MAFIL through rights issue.

Capital adequacy ratio (CAR) and Tier-I CAR stood at 20.20% and 16.38% as on March 31, 2026, against 20.93% and 15.83% as on March 31, 2025. Overall gearing for AMFL as on March 31, 2026, stood at 3.06x against 5.74x as on March 31, 2025.

In Q1FY27, Tangible Net worth stood at ₹2,495 crore and overall gearing of 2.43x. MAFIL is expected to continue supporting AMFL with equity capital to drive its business growth.

Fairly diversified resource profile

AMFL has a diversified borrowing profile. In FY26, share of non-convertible debentures (NCDs) and subordinated debt stood at 16.25% as on March 31, 2026, compared to 9.73% as on March 31, 2025. Share of pass-through certificate (PTC) declined to 1.66% as on March 31, 2026, compared to 2.58% as on March 31, 2025.

In Q1FY27, Term Loan & WCDL stood at 69.9%, followed by Tier II Sub Debt at 10.5%, Refinance Debt at 7.9%, Debentures at 7.4%, Commercial Paper at 2.5% and PTC at 1.7%.

Key weaknesses

Significant deterioration in profitability

In FY26, AMFL reported a loss of ₹579 crore on a total income of ₹1,509 crore (profit before provisions and tax [PPOP]: ₹177 crore) against loss of ₹639 crore on a total income of ₹2,734 crore (PPOP: ₹932 crore) in FY25 due to higher credit costs, considering headwinds in the microfinance sector.

Yield on advances decreased from 28.29% in FY25 to 20.05% in FY26 as the gold loan proportion has increased, which has a lower interest rate than MFI loans. With decrease in yields, net interest margin (NIM) also decreased to 8.17% in FY26 against 13.57% in FY25. Operating expenditure (opex) rose to 8.45% in FY26 against 7.37% in FY25.

Credit cost decreased sequentially to 11.85% in FY26 from 16.72% in FY25. Consequently, return on total assets (ROTA) declined to -6.78% in FY26 from -6.13% in FY25.

In Q1FY27, AMFL reported a profit of ₹21 crore with a ROTA of 0.95% (annualised). Credit cost stood at 3.01% (annualised) in Q1FY27.

AUM is expected to grow in FY27 supported by higher growth in gold loans segment, which will bring down yields due to shift to gold loans from microfinance loans. Considering the ongoing recovery in the overall microfinance industry, CareEdge Ratings anticipates meaningful improvement in profitability parameters in FY27.

Weak asset quality

Impact on asset quality was evident from the rise in credit cost in FY25 and in 9MFY26 with recoveries in Q4FY26. GNPA decreased in FY26 from 8.54% as on March 31, 2025, to 4.85% as on March 31, 2026. Net NPA (NNPA) also decreased from 2.46% as on March 31, 2025, to 1.60% as on March 31, 2026.

In Q1FY27, GNPA stood at 4.79%, whereas NNPA and Net NPA to Net Worth stood at 1.42% and 3.71% respectively.

The 0+ days past due (DPD) of the overall AUM stood at 9.82% as on March 31, 2026, compared to 11.77% as on December 31, 2025, and 20.06% as on March 31, 2025. The company's ability to control slippages going forward remains a key rating sensitivity.

Inherent socio-political risks associated with microfinance

The microfinance sector continues to be impacted by inherent risks, such as socio-political intervention risk, risks arising from unsecured lending, and marginal profile of borrowers, who are vulnerable to economic downturns, and operational risks related to cash-based transactions.

Liquidity: Adequate

Asset liability management (ALM) profile remains adequate given the tenor matching of its funding sources with that of its loan assets, where most loans amortise monthly with a maximum tenor of up to two years for the majority portfolio. There are no negative cumulative mismatches for up to one year time buckets per ALM dated June 30, 2026, and the company had cash and bank balances of ₹904 crore. The parent company, MAFIL, infused equity capital of ₹500 crore in Q1FY26, ₹250 crore in Q3FY26, and ₹791 crore in Q4FY26, and need-based capital support from the parent and associated financial flexibility provides cushion to the liquidity profile.

Assumptions/Covenants: Not applicable

Environment, social, and governance (ESG) risks: Not applicable

Applicable criteria

[Definition of Default](#)
[Factoring Linkages Parent Sub JV Group](#)
[Rating Outlook and Rating Watch](#)
[Financial Ratios – Financial Sector](#)
[Non-Banking Financial Companies](#)

About the company and industry

Industry classification

Macroeconomic indicator	Sector	Industry	Basic industry
Financial Services	Financial Services	Finance	Microfinance Institutions

AMFL was set up as a non-deposit taking NBFC (NBFC-ND) in August 2007 and registered with the Reserve Bank of India (RBI) in December 2007. Microfinance operations commenced in January 2008, and the company was reclassified as an NBFC-MFI effective October 2013. AMFL was promoted by S.V. Raja Vaidyanathan and in February 2015, MAFIL acquired 85% stake in AMFL through a combination of acquisition of shares from existing investors, erstwhile promoters, and fresh issue of equity shares. As on March 31, 2026, MAFIL holds 98.31% stake in AMFL, while 1.18% is held by SV Raja Vaidyanathan and balance 0.51% is held by individuals. AMFL caters primarily to economically backward women and provides microcredit loans under the joint liability group (JLG) model. As on June 30, 2026, AMFL operates in 25 states and union territories with 1,711 branches and total borrowers of 29.34 lakh, with AUM of ₹7,188 crore.

Standalone Financials

Brief Financials (₹ crore)	March 31, 2025 (A)	March 31, 2026 (A)	Q1FY27 (UA)
Total income	2,734	1,509	429
Profit after tax (PAT)	-639	-579	21
Assets under management (AUM)	8,189	6,793	7,188
On-book gearing (x)	5.74	3.06	2.43
AUM / tangible net-worth (TNW) (x)	6.78	3.57	2.88
Gross non-performing assets (NPA) / gross stage 3 (%)	8.54	4.85	4.79
Return on managed assets (ROMA) (%)	-5.49	-6.30	0.88
Capital adequacy ratio (CAR) (%)	20.93	20.20	30.97

A: Audited; UA: Unaudited; Note: these are latest available financial results

Status of non-cooperation with previous CRA: Not applicable

Any other information: Not applicable

Rating history for last three years: Annexure-2

Detailed explanation of covenants of rated instrument / facility: Annexure-3

For complexity level of instruments rated refer to Annexure-1

Lender details: Annexure-4

Disclosure on facilities/instruments and name of the regulators:

A list of facilities / instruments falling under the purview of various financial sector regulators (FSRs) along with the names of respective FSRs has been duly disclosed by CareEdge Ratings on its website. A link to the same has been provided below for ready reference:

https://www.careratings.com/activities_and_regulators

Note: For facilities or instruments falling under the purview of FSRs other than Securities and Exchange Board of India (SEBI), the grievance / dispute redressal mechanisms and investor protection mechanisms provided by SEBI shall not be available.

Annexure-1: Details of instruments/facilities

Name of the Instrument	Name of the Regulator	Complexity Level	ISIN	Date of Issuance (DD-MM-YYYY)	Coupon Rate (%)	Maturity Date (DD-MM-YYYY)	Size of the Issue (₹ crore)	Rating Assigned and Rating Outlook
Debentures Non-Convertible Debentures	SEBI	Simple	INE516Q07499	23-07-2026	9.67%	30-12-2027	100.00	CARE AA-; Stable
Debentures Non-Convertible Debentures	SEBI	Simple	Proposed	-	-	-	100.00	CARE AA-; Stable
Debt Subordinate Debt	SEBI	Complex	INE516Q08497	26-05-2026	10.75	26-05-2033	100.00	CARE AA-; Stable
Debt Subordinate Debt	SEBI	Complex	Proposed	-	-	-	50.00	CARE AA-; Stable
Fund-based Long Term	RBI	NA	-	-	-	June 2029	2,000.00	CARE AA-; Stable
Debt Subordinate Debt	SEBI	Complex	Proposed	-	-	-	300.00	CARE AA-; Stable
Debentures Non-Convertible Debentures	SEBI	Simple	Proposed	-	-	-	200.00	CARE AA-; Stable

Annexure-2: Rating history for last three years

Sr. No.	Name of the Instrument/Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2026-2027	Date(s) and Rating(s) assigned in 2025-2026	Date(s) and Rating(s) assigned in 2024-2025	Date(s) and Rating(s) assigned in 2023-2024
1	Debentures-Non Convertible Debentures	LT	200.00	CARE AA-; Stable	1)CARE AA-; Stable (18-May-26)	1)CARE AA-; Stable (12-Jan-26)	1)CARE AA-; Stable (30-Jan-25) 2)CARE AA- (RWD) (28-Oct-24) 3)CARE AA-; Stable (07-Oct-24)	1)CARE AA-; Stable (01-Feb-24) 2)CARE AA-; Stable (20-Sep-23)

							4)CARE AA-; Stable (03-Apr-24)	
2	Fund-based-Long Term	LT	2000.00	CARE AA-; Stable	1)CARE AA-; Stable (18-May-26)	1)CARE AA-; Stable (12-Jan-26)	1)CARE AA-; Stable (30-Jan-25) 2)CARE AA- (RWD) (28-Oct-24) 3)CARE AA-; Stable (07-Oct-24) 4)CARE AA-; Stable (03-Apr-24)	1)CARE AA-; Stable (01-Feb-24)
3	Debt-Subordinate Debt	LT	150.00	CARE AA-; Stable	1)CARE AA-; Stable (18-May-26)	-	-	-
4	Debt-Subordinate Debt	LT	300.00	CARE AA-; Stable				
5	Debentures-Non Convertible Debentures	LT	200.00	CARE AA-; Stable				

LT: Long term

Annexure-3: Detailed explanation of covenants of rated instruments/facilities: Not applicable**Annexure-4: Lender details**To view lender-wise details of bank facilities please [click here](#)

Note on complexity levels of rated instruments: CareEdge Ratings has classified instruments rated by it based on complexity. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for clarifications.

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